PENNINGTON INDUSTRIES LIMITED

(Company number 02841559)

Minutes of a meeting of the Board of Directors

Held at Brunel House, Dudley Road, Birmingham B18 7QD and by video conference on 26 February 2026 at 10.00 a.m.

Present

Mr R. Pennington (Chair); Ms G. Underwood (Group Finance Director); Mr H. Doyle (Operations Director); Ms A. Sandhu (Non-Executive Director). In attendance: Ms S. Whitfield and Mr J. Osei (Whitfield Carter LLP); Ms N. Patel (Company Secretary).

1. Quorum and notice

The Chair noted that due notice had been given and that a quorum was present. The meeting was declared open.

2. CMA review of the Halworth acquisition (Project Forge)

2.1 The Board received an update from Whitfield Carter on the CMA's Phase 1 investigation into the acquisition of Halworth Pump Systems Limited. It was reported that on 9 February 2026 the CMA had found a realistic prospect of a substantial lessening of competition in the supply of centrifugal and submersible pumps to the municipal water and wastewater sector, and that the CMA was considering undertakings in lieu of a Phase 2 reference.

2.2 The Board considered the proposed undertakings in lieu, comprising the divestment of Halworth's Aqualis municipal-water pump business, together with the associated framework contracts, intellectual property and designated personnel, to a purchaser approved by the CMA. The Board noted advice that accepting undertakings at Phase 1 was preferable to a Phase 2 reference, which would be lengthy, costly and uncertain, and that the divestment would preserve the core industrial rationale of the acquisition.

3. Resolutions

IT WAS RESOLVED that:

(a) the Company offer undertakings in lieu of reference to the CMA under section 73 of the Enterprise Act 2002 substantially in the form tabled at the meeting, with authority to the Group Finance Director to agree such amendments as the CMA may reasonably require;

(b) Ms Grace Underwood be and is hereby authorised to negotiate, finalise, sign and give the undertakings in lieu on behalf of the Company and to do all such things as may be necessary or desirable to give effect to them; and

(c) the Company continue to comply strictly with the Initial Enforcement Order dated 16 December 2025 pending completion of the divestment.

4. Close

There being no further business, the Chair declared the meeting closed at 10.50 a.m.

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R. Pennington — Chair